FACILITIES AGREEMENT dated 31 March 2023 between ASHBY & ROWE ENGINEERING LIMITED (the "Company") and NORTHGATE BANK PLC (the "Lender"). £12,000,000 term loan facility and £6,000,000 revolving credit facility.

1. DEFINITIONS

"Consolidated EBITDA" means, in respect of any Relevant Period, the operating profit of the Group before taxation, before deducting any Finance Costs, before taking into account any Exceptional Items (provided that exceptional restructuring costs added back shall not exceed 10 per cent. of Consolidated EBITDA in any Relevant Period), and before deducting any amount attributable to the amortisation of intangible assets or depreciation of tangible assets.

"Interest Cover" means the ratio of Consolidated EBITDA to Finance Charges in respect of any Relevant Period.

"Leverage" means the ratio of Total Net Debt on the last day of a Relevant Period to Consolidated EBITDA in respect of that Relevant Period.

"Total Net Debt" means the aggregate amount of all obligations of the Group for or in respect of Borrowings, less cash and cash equivalent investments held by the Group.

"Relevant Period" means each period of twelve months ending on a Quarter Date.

"Termination Date" means 31 March 2028.

"Margin" means 3.00 per cent. per annum over Compounded Reference Rate (SONIA).

21. FINANCIAL COVENANTS

21.1 Financial condition. The Company shall ensure that:

(a) Leverage: Leverage in respect of any Relevant Period shall not exceed 3.25:1 for each Relevant Period ending on or before 31 December 2024, 3.00:1 for each Relevant Period ending on or before 31 December 2026 and 2.50:1 thereafter.

(b) Interest Cover: Interest Cover in respect of any Relevant Period shall not be less than 3.00:1.

21.2 Financial testing. The financial covenants shall be tested by reference to each of the financial statements and each Compliance Certificate delivered quarterly.